

ADVANTAGE Daily Drilling Fluids Report - 35



INTEQ

Rpt Date 11/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 17-1/2" Section #3		Mud System AQUA-DRILL	
Job# 1		Spud Date 05/Jul/2006		MD 1636.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
0				19 1/2	178.00	Total Hole	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
Drill Collars			Drill Pipe			1121.2	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
						123							
						Tot Active							
						1244.2	Circulation Times						
						In Storage	Surface to Bit			min/stks		Total System min/stks	
						39	Bottoms Up			min/stks			

Mud Properties				Max Ann Velocity		Hole Information			
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	0 psi	Water Depth
Sample From		Active Pit	Active Pit		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate
Check Time		11:00	23:00		AV Open Hole	ft/min	Solids Analysis		
MD m		1636.00	1636.00		Vc Open Hole	ft/min	Property	1	2
TVD m		1636.00	1636.00		Vc Drill Pipe	ft/min	LGS %	1.66	1.66
Bit Depth m		1627.00	0.00		Min Ann Velocity		LGS lb/bbl	15.12	15.12
Inc deg		1.39	1.39		AV Riser	ft/min	HGS %	0.22	0.22
Density ppg		9.10	9.10		AV Casing	ft/min	HGS lb/bbl	3.31	3.31
Funnel Visc. sec/quart		35.0	35.0		AV Open Hole	ft/min	Bentonite %	0.93	0.93
Flow Line Temp degF		98.0			Bit Information		Bentonite lb/bbl	8.50	8.50
Test Temp degF		85.0	80.0		Size		Drill Sol %	0.73	0.73
Rheol Temp degF		120.0	120.0		Hours On Bit		Drill Sol lb/bbl	6.63	6.63
PV cP		12	13		Bit Number		Avg Dens Sol sg	2.7908	2.7908
YP lbf/100ft^2		11	11		BHA Number		Rheology		
10sec Gel lbf/100ft^2		4	4		Depth In		600 RPM	35	37
10min Gel lbf/100ft^2		5	5		Bit RPM		300 RPM	23	24
API Filtrate cc		6.4	6.2		WOB		200 RPM	19	19
API Cake in/32		2.0	2.0		Nozzles		100 RPM	14	15
pH		10.2	9.6		Bit Hydraulics		6 RPM	4	4
Pm		0.30	0.30		TFA		3 RPM	3	3
PF		0.08	0.04		Nozzle Vel	ft/sec			
MF		0.70	0.70		Bit Press Loss	psi			
Excess Lime lb/bbl		0.1	0.1		HHP / Area	HP/in^2	Hydraulic Analysis		
Hardness mg/l		820.0	640.0		HHP	%	Behavior Index (n)		
Chlorides mg/l		53000	53000				Consistency Index (k)		
K mg/l		23241	22942				ECD @ Bit Depth		
NaCl mg/l		52797	53243				ECD @ Casing Shoe		
KCl mg/l		44314	43744		Fluid Comments/ Recommendations				
MBT lb/bbl		10.0	10.0		Treated mud with Sodium Bi-carb & Citic acid while drilling cmt. Prepared additional 80 bbls mud to meet volume needs. Prepared slug for tripping out of hole. Cleaned out pits 2, 3 & 4 in readiness for SBM take on from boat.				
Retort Water %		95.0	95.0						
Sand %		0.40	0.40						
Retort Solids %		5.0	5.0						
Corrected Solids %		1.9	1.9						
					Drilling Comments				
					P/U & RIH with 12-1/4" BHA t/1572m. Wash down to tag cmt at 1586m & drill out cmt t/1600. Circ & condition mud prior to csg test. Press test csg to 2500 psi f/15mins down string & C/K line against variable rams. Continue drill cmt f/1600m thru shoe @ 1622m. Ream same X 3, no resistance. Wash & ream rat hole, no cmt. Drill 3m of new hole f/1636 t/1639m. CBU. POOH t/1616m & perform LOT. Circ, F/C, pump slug, POOH.				

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Waboso Peter/ Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	5829.59 USD	587422.25 USD	231963.52 USD	

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Job# 1	Spud Date 05/Jul/2006		MD 1636.00 m		Progress 0.00 m		Present Activity Tripping
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							
Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	20.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0	3 x 110	26.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0	3 x 110	25.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0	3 x 110	25.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					96	0	
Volumes							
Additions bbl				Losses bbl		Total Volumes bbl	
Mud Added	Weight Materials	Downhole	Left In Pit	Starting Volume	1558.6	Riser w/o Pipe	213.3
Brine 55	Water 40	Cased Off	Trip Losses 30	Daily Additions	96.9	Casing w/o Pipe	901.2
Base Fluid	Product 1.9	Left In Hole	Injected	Daily Losses	372	Open Hole w/o Pipe	6.7
Recycled	Other	Discharged 70	Spill To Environment	Ending Volume	1283.5	String Displacement	
		SCE 96	Onshore Disposal	Net Change	-275.1	String Capacity	
		Evaporation	Returned			Total Hole w/ Pipe	1121.2
		Other Losses 176				Total Active	1244.2
						Total Reserve	39.0
IADC Hours							
Tripping	12	Circulate	6	Drill Cement and/or Float Eqpt.		4	F.I.T./L.O.T.
BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value
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Page 2							
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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN								
Primary Currency USD			Secondary Currency			Totals USD											
Daily Product Cost 4929.59			Daily Product Cost 0.00			Primary Product 550972.25											
Daily Tax 0.00			Daily Tax 0.00			Secondary Product 0.00											
Debit/Credit 0.00			Debit/Credit 0.00			Primary Engineering 36450.00											
Daily Engineering Cost 900.00			Daily Engineering Cost			Secondary Engineering 0.00											
Total Daily Cost 5829.59			Total Daily Cost 0.00			Primary Total 587422.25											
Total Inventory Value 231963.52			Total Inventory Value 0.00			Secondary Total 0.00											
						Deck Load		312.29 UK ton									
Products and Services																	
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl							
Bulk																	
BARITE - Imported	1000 kg	258						258	1.26	0.16							
Oil Based Product																	
MIL-LIME	25 kg	80						80									
Water Based Product																	
AQUA-COL D	55 USgal																
CALCIUM CHLORIDE (97%)	50 lb	2						2									
CAUSTIC SODA	25 kg	17						17	0.39	0.07							
CITRIC ACID MONOHYDRATE	25 kg	6					6		0.20								
DRISPAC LV	25 kg	7					7		1.01	1.73							
MIL-PAC R	25 kg	90						90	0.66	0.17							
MIL-PAC LV	25 kg	55						55	0.36	0.09							
NEW-DRILL PLUS	55 lb	115						115	1.50	0.40							
POTASSIUM CHLORIDE	25 kg	160						160	12.81	3.44							
POTASSIUM CHLORIDE BRINE	1 bbl	244					55	189	77.56	100.25							
PROTECTOMAGIC M	25 kg	68						68	0.07	0.04							
SODA ASH	25 kg								1.35	0.51							
XANTHANGUM D	25 kg	68					2	66	0.65	0.51							
XCIDE 102	55 USgal								0.12	0.07							
LCM																	
CALCIUM CARBONATE - FINE	25 kg	40						40	0.19	0.02							
CALCIUM CARBONATE - MED	25 kg	60						60	0.49	0.07							
KWIKSEAL - MEDIUM	50 lb	39						39	0.34	0.06							
MIL-PLUG FINE	50 lb	84						84									
MIL-SEAL MEDIUM	50 lb	90						90									
SOLUFLAKE F	50 lb	78						78									
Other																	
SOLTEX	25 kg								1.64	0.41							
BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 3	
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